

ASAN pitch deck

PITCH — ASAN — VERDICT

ADJUDICATED 2026-08-07 — DECLINE. No position at \$8.90, and no resting buy orders left in the market ahead of the September 3 earnings print. Reopen only on the RPO test below.

What we believe

Asana is a work-management software company whose installed customer base has stopped deteriorating but whose ability to win *new* customers has not recovered. That is a real and specific diagnosis, and it is better news for the business than our own first bench said — and worse news for the stock than the original idea assumed.

Three things we think are true:

- 1. The base is stabilizing.** Net retention (how much existing customers spend this year vs. last) bottomed at 95% in Q1 FY26 and is now 96% overall and 97% in the core cohort — one point better than the same quarter a year ago on both cuts. Revenue from core customers grew 10% while the core customer *count* grew 7%, meaning existing customers are spending more per head.
- 2. The problem is new logos, not churn.** The \$100k+ customer count grew 20% year over year six quarters ago and grows 12% now. Core net adds, compared like-for-like against the same quarter last year, went 235 → 175 (−26%). Nothing is leaving; not enough is arriving.
- 3. The price already reflects the good half.** At \$8.90 the stock trades at roughly 2.0x trailing revenue (enterprise value \$1.63B on \$808.7M of trailing sales). The market marked this business at 1.0x revenue — \$5.35 a share by our arithmetic — in April 2026 and bounced off it. The 52-week low is \$5.385. Buying at \$8.90 means buying 66% above a floor the market has already found and tested, four weeks before an earnings report, with options priced at 94% volatility against 82% realized.

So: a fixable company, at a price that pays us nothing for waiting to see whether it gets fixed.

What the market believes

The market believes Asana is a structurally challenged, sub-10%-growth software company that survives comfortably and compounds slowly. It has repriced it from a growth multiple to a terminal one, tested the terminal multiple in April, and now holds it in a \$5–9 band while it waits for evidence that the new CEO can restart new-customer acquisition.

The market does *not* appear to believe Asana is impaired. There is no debt, \$424.6M of cash and securities, and the company bought back stock aggressively. The bid at \$8.90 is a “maybe it turns” bid,

not a distress bid.

The market also does not appear to be paying much attention to the accounting-officer situation described below — which is the one place we think there may be information the tape has not priced.

Why we might have edge

- **We read the filed metric definition, and most people quote the spoken one.** Asana's reported net retention rate is, by the company's own words in the FY26 10-K, "the simple arithmetic average of our quarterly dollar-based net retention rate for the four quarters ending with the most recent fiscal quarter" ([FY26 10-K, Key Business Metrics](#)). It is a lagging four-quarter average. It cannot show a turn until four quarters after the turn starts. Anyone treating the flat 96% as evidence against management's claim of improvement is misreading the metric — and anyone treating management's claim as fact is trusting an unfiled number. Both errors are common. We made the first one ourselves, in-house, and caught it.
- **We separated seasonality from breakage.** The headline "zero net \$100k+ customer adds" reads like a break. It is a three-year Q1 constant: 607→607 in Q1 FY25, 726→728 in Q1 FY26, 817→817 in Q1 FY27 — and the first two happened while that cohort compounded at ~20% a year. Whoever trades that headline is trading a calendar artifact.
- **We have a clean, dated falsifier nobody has to interpret.** Contracted backlog (remaining performance obligations) jumped to \$507.3M in the July 2025 quarter. That step gets lapped at the September 3 print. Backlog growth therefore *must* decelerate hard by arithmetic unless real new business replaced it. \$560M at July 31, 2026 is the line. It is one number, in one XBRL tag, on one date.
- **We read the officer filings as a series, not as events.** Since July 2025: CEO, COO, General Counsel, CFO, Lead Independent Director, and two founder-era directors. Then the Chief Accounting Officer — appointed March 11, 2026, signer of the 10-K and the 10-Q — resigned July 13 effective August 7, 2026, a four-month tenure, with no successor or interim named ([8-K filed 2026-07-17](#)). Each 8-K reads as routine in isolation. The series does not.

Why it might be priced in

Honestly, most of it probably is.

- 2.0x trailing revenue for a 9.5%-growth software company with improving margins is not a demanding multiple. It is roughly right. There is no valuation gap to harvest; the stock is neither cheap nor expensive.
- The stabilization we identified is visible in the company's own quarterly exhibits. Anyone reading them sees it. It is not proprietary.
- The stock is already up 65% off the April low and 38% off the July low, and sits at 95% of its 26-week high. Whatever repair thesis exists has been bid once already.

- The peer comparison cuts *against* a discovery story rather than for it. Monday.com grew 24% with 110% net retention; Atlassian’s cloud revenue grew 31% with accelerating seat expansion. Asana’s shortfall is company-specific, not an industry-wide fear the market has over-applied. There is no misapplied class discount to arbitrage.
- The accounting-officer vacancy is a genuine unknown, but it is disclosed in a public 8-K. We cannot claim it is hidden — only that it seems under-weighted.

The one thing we do not know is positioning: our web-search budget was exhausted in both benches, so short interest and crowding are **unverified**. We inferred “already bought” from price and implied volatility alone. That is a real gap and it is stated as such.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“In-quarter net retention rose four straight quarters” (the original reason we liked the name)	Searched all Asana 8-K exhibits and the FY26 10-K for the figure	It appears only on the earnings call , never in a filing, never reconciled	No — unverifiable. Our first bench graded it <i>refuted</i>; that was too strong. The filed metric is a four-quarter average and cannot refute an in-quarter turn. Our error, corrected in-house
“Reported net retention is flat for six quarters, so nothing improved”	Pulled nine consecutive earnings exhibits and built the series	Not flat. It troughed at 95% in Q1 FY26 and recovered to 96% overall / 97% core — +1pt year over year on both cuts	No — our own first bench misread the series. The correction favors the company
“\$100k+ customers: zero net adds — the enterprise base is breaking”	Compared the same fiscal quarter across three years from company exhibits	Q1 net adds are ~zero every year: 0, +2, 0 — and the prior two occurred at ~20% annual cohort growth	No — seasonal artifact. Our first bench called it fatal. The real, surviving problem is the <i>year-over-year</i> decay: 20% → 12%
“Backlog is growing slower than revenue (+2.1% vs +9.5%)”	Re-pulled the XBRL tag and matched fiscal quarters (SEC XBRL concept API)	Our first bench compared July 2025 to April 2026 — different fiscal quarters, three quarters apart, labeled as four. Like-for-like April→April is \$420.7M → \$518.1M, +23.1% , growing 2.4x faster than revenue	No — outright arithmetic error by our own bench. Overturned. Logged against us, not the company. What survives is a forward test, not a fact
“The guidance raise was real”	Compared the March 2 and May 28 guidance documents	Raise was +\$5.5M , of which ~\$3.95M is the StackAI acquisition. Organic raise +0.2 percentage points ; organic full-year guide (7.7–8.7%) sits <i>below</i> the 9.5% just delivered	Yes — though our bench omitted that the margin guide was raised (9.5% → 9.75%) <i>through</i> absorbing a \$75M acquisition.

Claim	How checked	Found	Confirmed?
			Narrowed, not broken
“Cash flow quality is poor — 91% of operating cash flow was a receivables collection”	Recomputed against the prior year	True this year (91%) — but the prior year was 277% . Excluding receivables, operating cash flow went from −\$12.0M to +\$3.8M , a genuine improvement	No — our bench’s framing was misleading. The history leg holds: buybacks of \$210.6M against \$105.3M of operating cash flow, at an average price of \$13.59 vs. \$8.90 today. That is value-destroyed
“AI is quietly dilutive to margin”	XBRL cost of revenue + the 10-Q’s own description of the AI products	Cost of revenue +32.2% on 9.5% revenue growth; gross margin 89.7% → 87.6%. The acquisition closed after quarter-end, so this decline is organic	Yes — and it quietly undercuts our own separate complaint that AI revenue is unverifiable. A 210bp organic margin decline in a consumption-priced AI business is the audited shadow of that volume. We cannot hold both complaints at full strength
“The accounting officer situation is a red flag”	Read every Item 5.02 8-K, and re-checked EDGAR on the effective date	Worse than first filed: four-month tenure, signed both the 10-K and 10-Q, no successor named as of Aug 7. Separately, the “no disagreements / not related to accounting practices” language is verbatim identical across three unrelated Asana 8-Ks — it is boilerplate and carries no information either way	Yes, strengthened. But the board leg is weaker than filed: the April departures named a same-day successor Lead Independent Director and were 17-year founder-era directors rolling off
“The founder has stopped buying”	Pulled all 94 Form 4s	Last transaction 2025-08-21 , 122,470 shares at \$13.5213, with the pre-scheduled-plan flag set. Nothing in ~11.5 months, through \$5.38 and back	Yes, but low-information. The buying was on a pre-set plan, so its expiry is not a decision. He also has not sold a single share
“Growth dispersion vs. peers is a misapplied class discount”	Peer filings (Monday.com, Atlassian)	Peers are <i>accelerating</i> . The “AI agents kill seat-based software” theory is refuted by the peers — and by Asana’s own retention data	Confirmed against us. The gap is company-specific. There is no class discount to collect
Positioning / short interest	Attempted; search budget exhausted in both benches	Not obtained	Unverified. Stated plainly, not papered over

Claim	How checked	Found	Confirmed?
The live price we are pricing off	IBKR contract 447584483	\$8.90 is the August 6 close carried into the August 7 pre-open (open = 0.0, volume 1,176), not an August 7 traded price. Current tape reads \$8.825	Confirmed as the correct mark, with the caveat stated

PROPOSED ENTRY BANDS

There is no entry. This is a decline, not a buy at a lower price.

The adjudication overrides the review bench's recommendation of a resting limit ladder at \$6.50 → \$5.75. **No orders rest in the market**, for one reason: a resting good-till-cancelled bid into a scheduled earnings report is an accidental bet that the report is fine. If Asana misses on September 3, that ladder fills on the way down, on the news, at prices that will no longer be attractive. We do not want to own the gap.

Reopen gates — these are the binding conditions, stated as adjudicated:

- **RPO >= \$560M at Jul-31-2026 (the cleanest tape falsifier — \$507.3M lapping test) -> re-court**
- **post-Sept-3: re-derive entry vs the \$5.35 floor on the new quarter**

Reference math from the benches, for use when we re-derive — not live orders:

Level	What it is	Status
\$8.90	2.01x enterprise value / trailing revenue. Today's mark	Declined
\$6.50	1.33x revenue. The asymmetry point our first bench named and the review bench could not improve on	Alert only; no order
\$5.385	The April 2026 low — the price at which the market actually tested the terminal multiple	Reference floor
\$5.35	1.0x enterprise value / trailing revenue, computed as (\$808.67M revenue + \$424.64M net cash) ÷ 230.51M shares	The floor arithmetic to re-derive against after Sept 3
\$4.44	1.0x revenue after subtracting \$209.9M of operating lease liabilities	Downside reference. Note: net cash is only 20.7% of market cap, 10.5% lease-adjusted — there is no balance-sheet floor worth owning here. The floor is a multiple, and multiples move

Sizing: zero. No position, no ladder, no options. Options premium selling is excluded outright on this book for tax reasons regardless of the volatility spread.

Catalyst dates: - 2026-09-03 — Q2 FY27 earnings. Date is derived from a data vendor and is **not confirmed by an Asana press release**. Confirming it is itself a task below. - **2026-08-07 — Chief**

Accounting Officer resignation effective (now passed; successor still unnamed as of that date).

Conditions that would convert a decline into a starter position, all of which must clear at the print: backlog $\geq$ \$560M; \$100k+ customer net adds $\geq$ 25 and core net adds $>$ 400 (Q2 is seasonally strong, so this is a fair test in a way Q1 was not); full-year revenue guidance raised more than 1.5% excluding the acquisition, with next quarter guided above +9.5% organic; in-quarter net retention printed *in the press release* and reconciled, with reported overall retention moving to 97%; a named accounting-officer successor and one clean quarter with no executive departures; AI bookings tracking at or above the stated 15% full-year target.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.6 (deck-provisional: approach to the tested \$5.385 low and the \$5.35 1.0x-EV/sales line — alert only, no order)
- filing watch: 8-K until 2027-02-13 (deck-provisional: Item 4.01 auditor change or Item 4.02 non-reliance at CIK 1477720 converts DECLINE to permanent AVOID)
- dated pack ASAN|2026-09-03: ASAN Q2 FY27 print 2026-09-03: HIT = RPO $\geq$ \$560M (lapping test vs \$507.3M) AND \$100k+ cohort adds positive (seasonal Q2 should add). RESOLV
- dated pack ASAN|2026-08-07: ASAN: Chief/Principal Accounting Officer resignation effective, no successor named (date confirmed=True)

What remains unverified

Stated plainly, because several of these were load-bearing somewhere in the analysis:

1. **Short interest, borrow, and positioning.** Never obtained. Both benches disclosed the same exhausted budget. The claim that the recovery is already crowded rests on price action and implied volatility only.
2. **In-quarter net retention.** Management's central claim of four consecutive quarters of improvement is not in any filing and cannot be reconciled to what is filed. It is neither proven nor disproven. Our first bench called it disproven; that was wrong.
3. **AI Studio revenue.** "17% of net-new annual recurring revenue" is a percentage of a base Asana has never reported — a full-text search of the company's filings returns zero hits for "net-new ARR." Management put a dated, falsifiable full-year commitment (15%) on the record, which is worth something. Audited segment revenue does not exist, which is worth less.
4. **Whether Asana is genuinely cheap against peers.** The review bench's strongest available defense of the stock — that 2.0x revenue already discounts more growth dispersion than actually exists versus Monday.com and Atlassian — could not be checked against live peer multiples from a primary source, and was correctly declined as a basis for overturning a filing-verified finding.
5. **The September 3 date itself.** Vendor-derived, not company-confirmed.

6. **Why the Chief Accounting Officer left after four months.** The 8-K's reassurance language is identical boilerplate across three unrelated Asana departures and carries no information. We do not know, and we are not entitled to assume either the benign or the adverse reading.
7. **Whether new-customer acquisition is fixable by the new CEO.** This is the entire remaining thesis, and there is no evidence for it yet in any number the company has reported. That is precisely why we are declining rather than sizing small.

One process note, recorded against us: this name entered the pipeline graded on management's spoken metric rather than the company's filed metric. Separately, our first bench built a fatal-severity finding on a comparison between two non-matching fiscal quarters, which reversed the sign of the backlog conclusion. Neither error changed the final answer here — but on a closer name, either one would have manufactured a false rejection. Both are logged against the benches, not the company.

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